Sikkim was to play an important role in changing power equations in the years to come; along with the Chumbi Valley that formed a tri-junction with the kingdoms of Tibet, China and Bhutan, it straddled the most important trade routes between India and Tibet. For Sikkim, the Chumbi Valley was the gateway to the north, connecting Tibet over the Nathu-la and Jelep-la passes. Early records indicate that neither Tibet nor Bhutan, or China for that matter, ever held sovereignty over the Chumbi Valley. It almost seemed to exist in limbo.

In the treaty of 1890, Britain's protectorate over Sikkim was recognized by China, and the Sikkim-Tibet border was delineated. Tibet, however, was not party to this agreement and refused to recognize the boundary. This led to a series of events that eventually led to the 1903 Younghusband expedition that brushed all opposition aside and eventually entered Lhasa without waiting for formal approval from either London or Calcutta in 1904. The Dalai Lama fled to Mongolia in the hope of getting the Tsar of Russia's support against the British. To secure the withdrawal of British Indian troops from Lhasa, the Dalai Lama's representative had to agree to Younghusband's terms that were formalized as the Anglo-Tibet Convention of 1904. The agreement recognized Britain's protectorate over Sikkim and gave British India the right to establish trading posts at Gyantse, Gartok and Yadong while at the same time placing restrictions on both China and Russia. A large indemnity of Rs 7.5 million was levied and British troops were to be stationed in the Chumbi Valley adjoining Sikkim. By virtue of these terms, for all practical purposes, Tibet was converted into a British protectorate.

Public outrage in London over the war and the massacre of Tibetans, coupled with the 'unauthorized' capture of Lhasa, resulted in many of the terms being repudiated. London was worried about the Russian reaction to the blatant British aggression, while also being wary of annoying China owing to its own interests in Hong Kong. Not only was the large indemnity reduced to almost a third, it was decreed that British troops would not be stationed in the Chumbi Valley for more than three years. The resultant 1906 Anglo-Chinese Convention modified the 1904 accord, thereby legitimizing Chinese authority over Tibet. It also stated: 'The Government of Great Britain engages not to annex Tibetan territory or to interfere in the administration of Tibet. The Government of China also undertakes not to